HFCL Ltd: Concall Tracker

Telecom, optical fibre and defence electronics maker · Screener ticker HFCL · Quarter folder Q2-2027 · Builds on the Q1-2027 report · Latest call read: Q2 FY27 (19 Oct 2026)

This is not investment advice. Do your own due diligence.

1. Snapshot

What the business does: HFCL makes the physical parts of internet and telecom networks. It draws optical fibre (the glass strands that carry data), turns it into cable, and sells the plug-in fibre assemblies that go inside data centres. It also sells India-designed telecom gear, builds networks as a contractor (EPC, meaning engineering, procurement and construction), and is growing a defence arm (radars, thermal sights, fuzes, grenades).

Number	Value	Plain read
Q2 FY27 revenue (consolidated)	₹2,542 cr	Another record. About two and a half times about ₹1,043 cr a year ago, and a third more than June's ₹1,915 cr.
Q2 FY27 EBITDA (operating profit before interest, tax, depreciation)	₹658 cr	Over three times a year ago, up about half on last quarter.
EBITDA margin	25.9%	About ₹26 of operating profit on every ₹100 of sales. Up from 23.3% in June, which management had called the floor.
Q2 FY27 net profit	₹394 cr	Five and a half times last year's ₹72 cr. First-half profit ₹640 cr against ₹43 cr a year ago.
Order book	₹28,900 cr	Up from ₹26,665 cr even after billing ₹2,500 cr in the quarter, so new orders of roughly ₹5,000 cr+ came in. About ₹18,500 cr is fibre cable and data-centre work.
Market value / P/E (Screener, at writing)	~₹32,350 cr / ~47	Investors pay about ₹47 for each ₹1 of trailing profit. That multiple falls fast if H2 looks like Q2.

Screener's standalone table shows ₹2,178 cr of Sep-2026 sales; the gap to the consolidated figure is subsidiaries. Management talks in consolidated numbers, used above.

2. Concall coverage

Quarter	Call date	Read?
Q1 FY24 → Q4 FY26 (12 calls)	Jul 2023 → Apr 2026	Carried forward from earlier reports
Q1 FY27 (prior boundary)	22 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	**19 Oct 2026**	**Newly deep-read in full ★**

Fourteen calls in all, a bit over three years of the story.

2b. Latest concall highlights: Q2 FY27 (19 Oct 2026)

- **Record again, by a wide margin.** Revenue ₹2,542 cr, EBITDA ₹658 cr, profit ₹394 cr. Exports grew about six-fold on a year ago. The MD said this is "not a peak" and "no diamonds falling down from the sky": no one-off order inflated it.
- **Guidance raised a third time this year.** FY27 growth started at ~20%, went to 40% in July, and is now "at least 80%". Asked why that implies a flat second half, the MD said he likes to give a lower number and

surprise. He also said Q3 will grow on Q2. The ₹10,000 cr revenue goal for FY29 should come "much before that".

- **Prices still rising.** Fibre prices rose about 20% in the quarter. He thinks they're stabilising, but admits he said the same last quarter. Most long contracts have yearly price resets.
- **Bigger capex.** Plan now about ₹1,800 cr across fibre, cable and preform (the raw glass rod fibre is drawn from). Fibre capacity heads 28 → 38 → 43 million fibre-km, cable 39 → 56 → 63 million. The own-preform plant was doubled to 600 tonnes and pulled forward to October 2028, with an unnamed "midterm" preform fix from early 2027 that cuts cost.
- **Defence target stretched again.** FY27 ₹500-600 cr, FY28 "at least" ₹2,000 cr, ₹5,000 cr in three years. But first-half defence revenue was only about ₹80 cr. The aerospace acquisition (order book ~₹1,600 cr) is expected to close this quarter.
- **Tone:** very bullish, at times brushing off analysts who tried to size the order book. Says margins will only go up from here.

2c. Business mix & capacity

- **Domestic vs export:** exports were about 56% of sales in Q1 and grew faster again in Q2, so likely higher now (exact split not given on the call). In the telecom segment, data centres are about 65-75% of revenue and telcos 25-35%. Read: most of the money now comes from US data-centre buyers.
- **Capacity use:** fibre at 100%; cable at "100% in revenue terms", with data-centre lines running round the clock. Read: growth from here needs the new lines, which is why capex keeps going up.
- **Preform:** the own plant will cover only about half of the expanded fibre capacity; the rest stays on long-term buy contracts.

2d. Since our last report (builds on Q1-2027, call 22 Jul 2026)

Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: fibre export upcycle	Real, in the numbers, guidance doubled	Revenue up a third in one quarter, margin up again, guidance doubled again, order book higher	Confirmed
Consistency	Fibre delivers, defence and projects slide	Same pattern, sharper: fibre beat, defence lagging badly, Army contract slid again	Unchanged
Margin "floor" of ~23%	MD said it would hold	25.9%	Confirmed
Data-centre connectivity ~₹800 cr in FY27	~₹100 cr said for Q1	Q2 ~₹300 cr; FY28 target ₹2,000 cr. But this time the MD said Q1 connectivity was "nil"	On-track, with a muddled number
Defence ~₹500 cr FY27	"Firmly on track"	Still promised, but only ~₹80 cr in H1. Needs a big second half plus the acquisition	Slipping
Army maintenance contract (EPC losses)	"Mid of Q2"	Now "a week or 10 days". EPC lost ~₹121 cr this quarter; profit pushed to Q1 FY28	Slipping
Capacity by Dec 2026	On schedule	Targets enlarged; no date slip mentioned	On-track
Preform plant	Site not chosen	Doubled in size, date pulled forward to Oct 2028, machines 2-3 months late but absorbed	Improving

Group restructuring	EY hired, no outcome	Recommendation "a couple of weeks" away; EPC under active consideration	Too-early

Verdict change: Trigger stays YES and got stronger. Consistency stays MAYBE. The fibre side keeps beating its own targets, but the defence and project promises keep sliding, and the connectivity number moved between calls.

3. Earning-trigger thesis ★

AI data centres need huge amounts of high-count fibre cable, and US buyers want non-Chinese supply. HFCL is one of very few makers that can draw the thin, specialised fibre these buyers want, and it has multi-year contracts with price resets. That's now showing up as a revenue line that more than doubled and margins that keep climbing. Connectivity assemblies inside data centres are the second leg and started billing properly this quarter. Defence is a third leg that's still mostly talk.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Fibre cable exports to data centres	FY27 growth at least 80%; demand from Europe, Asia and telcos to add on	Record quarter, exports up about six-fold, order book ₹28,900 cr	Now → 3-5 yrs	Strong. In every line of the results.	↑ guidance raised again
Data-centre connectivity	~₹800 cr FY27, ₹2,000 cr FY28	~₹300 cr in Q2	FY27-FY28	Moderate. Selling now, but numbers shift between calls.	↑ now billing at scale
Capacity + own preform	₹1,800 cr capex; preform Oct 2028	Plants full; lines being added	FY27-FY29	Moderate. Funded, not yet built.	↑ bigger and earlier
Defence & aerospace	₹500-600 cr FY27, ₹2,000 cr FY28, ₹5,000 cr in 3 yrs	~₹80 cr in H1; radar trials; acquisition pending	FY27-FY30	Weak. Targets grow, revenue doesn't.	↓ gap to target widened

The main risk: this is a supply-shortage cycle. Global rivals are adding 40-50% capacity, preform prices are, in the MD's word, "insane", and the US rate cycle could slow some debt-funded data-centre builds. Management says long contracts and new demand from Europe, Asia and telcos cover that. It's a fair argument, but nobody can promise a shortage lasts.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	Equipment to ₹2,000 cr; fibre recovery "from Q2 FY25"	Equipment about half that; recovery pushed out four times; FY25 losses	Missed
FY26	"Breakout year", ~25% growth	Sales +22%, profit nearly doubled	Delivered
Q1 FY27	40%+ growth, margin floor ~23%	Q2 margin 25.9%; growth guide lifted to 80%+	Delivered (beat)
FY24 → now	Electronic-fuze order "next quarter"	Not mentioned this call; still no order	Missed

Q4 FY26 → Q2 FY27	Army maintenance contract to stem EPC losses	Promised for Q1, then mid-Q2, now "a week or 10 days"	Missed (so far)
Q1 FY27	Defence ~₹500 cr in FY27	~₹80 cr in H1; leans on an acquisition not yet closed	Too-early, slipping

Narrative drift: The core story is steady: more fibre, more exports, connectivity, then defence. On fibre, management has under-promised and over-delivered three quarters running. The weak side is everything that depends on government or deal timing. The Army contract keeps moving by a few weeks every call, and the defence target keeps getting bigger while the revenue stays small. A smaller point: the July call put Q1 connectivity at about ₹100 cr, and this call called it "nil". Probably a definitions issue, but it's the kind of looseness that makes the bigger numbers harder to trust. Tone has gone from confident to near-triumphant.

5. Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged (stronger)

Another big step up. Revenue jumped a third in a quarter, margins rose past the level management called a floor, the order book grew while ₹2,500 cr was billed, and growth guidance was raised for the third time in seven months. The trigger is named, live and in the numbers. What keeps it from being a forever story is that it's a shortage cycle: capacity is coming worldwide, and today's fibre prices won't last. That's a question for FY29, not this year.

Management consistent? → MAYBE

vs last quarter: unchanged

Nothing moved it. Fibre keeps beating promises, which is the part that matters most for earnings. But the Army contract slid again, defence did ₹80 cr in a half where ₹500 cr is promised for the year, the fuze order still hasn't shown up, and a connectivity number changed between two calls. The pattern is clear: trust the fibre guidance, discount the defence and project timelines.

Prepared from HFCL earnings-call transcripts via Screener.in (Q1 FY24 to Q2 FY27) and Screener financial tables. Consolidated figures unless noted. Not investment advice.